

SECURITIES AND EXCHANGE BOARD OF INDIA
INVESTMENT MANAGEMENT DEPARTMENT, MUMBAI
SEBI/HO/IMD/DF3/P/CIR/2024/130
September 08, 2024

Master Circular for Mutual Funds - Categorization of Schemes and Risk-o-meter Guidelines

1. Categorization of Equity Schemes:

- (a) Large Cap Fund: An open-ended equity scheme investing primarily in large cap stocks. Minimum investment in equity and equity instruments of large cap companies shall be 80 percent of total assets. Large cap companies are defined as the top 100 companies by full market capitalization listed on recognized stock exchanges.
- (b) Mid Cap Fund: An open-ended equity scheme investing minimum 65 percent of total assets in equity instruments of mid cap companies are defined as those ranked 101st to 250th in terms of full market capitalization.
- (c) Small Cap Fund: An open-ended equity scheme investing minimum 65 percent of total assets in equity instruments of small cap companies are defined as all companies ranked from the 251st position onwards in market capitalization.

2. Risk-o-meter Evaluation and Disclosure: Asset Management Companies (AMCs) shall evaluate the risk level of schemes based on standardized Risk-o-meter methodology on a monthly basis as of the last calendar day of the month. The updated Risk-o-meter shall be disclosed on the AMC website and the AMFI portal on or before the 10th calendar day of the succeeding month.
3. Potential Risk Class (PRC) Matrix for Debt Schemes: All debt mutual fund schemes must be classified under a 3x3 Potential Risk Class Matrix reflecting maximum interest rate risk (measured by Macaulay duration) and maximum credit risk (measured by Credit Risk Value). Category A schemes carry low credit risk (CRV ≥ 12), Category B moderate credit risk (CRV ≥ 10), and Category C relatively high credit risk.

4. Multi Cap Scheme Allocation: Multi Cap Funds are required to maintain a disciplined minimum investment of twenty-five percent (25 percent) in large cap stocks, twenty-five percent in mid cap stocks, and twenty-five percent in small cap stocks at all times.
5. Flexi Cap Scheme Allocation: Flexi Cap Funds are open-ended dynamic equity schemes investing across large cap, mid cap stocks with a minimum overall equity investment of 65 percent of total assets, without any floor or cap across specific capitalization.
6. Liquid Fund Portfolio Maturity: Liquid Funds cannot invest in debt securities having structured obligations or credit enhancements. They shall not hold any debt security with residual maturity exceeding ninety-one calendar days (91 days).

7. Mandatory Liquid Assets in Liquid Funds: Liquid Funds must maintain at least twenty percent (20 percent) of total assets in unencumbered liquid assets such as cash, Government securities, Treasury bills, and repo on Government securities.
8. Exit Load Structure on Liquid Funds: Liquid Funds shall levy a graded exit load on investors redeeming within seven days of ranging from 0.0070 percent on Day 1 to nil on Day 7.
9. Side-Pocketing (Segregated Portfolio): Creation of a segregated portfolio is permitted in case of a credit event (downgrade to investment grade by a credit rating agency) subject to prior approval of the Board of AMC and Trustees within two working days

Yours faithfully,

(Bhabani Prasad Pati)

Deputy General Manager